

This means you want to buy insurance only when you can't afford to take the risk yourself. You want to “lose” these bets to the insurance company because that means nothing bad happened to you. Instead, you forfeit your premium to the insurance company. “Winning” the bet—getting more money in benefits than you paid in premiums—means something bad happened (e.g., an injury, a car accident, a home fire, etc.), requiring you to use the insurance.

Insurance decisions can best be made by placing possible scenarios in one of four quadrants.

Low Probability, Large Impact	High Probability, Large Impact
Low Probability, Small Impact	High Probability, Small Impact

Decisions on the left side of the quadrant are relatively easy. These events have a low probability of occurring. Events that fall into the lower-left quadrant, even if they were to occur, would have a small financial impact. In this case, there's no need for insurance. Events that have a low probability of occurring but would have a large financial impact if they did are in the upper-left quadrant, such as a fire destroying your home. Because the probability is low, the insurance costs little, but its value can be great because of the potentially large impact associated with a negative event. It is a fairly easy decision to buy these types of policies.